ECONOMY

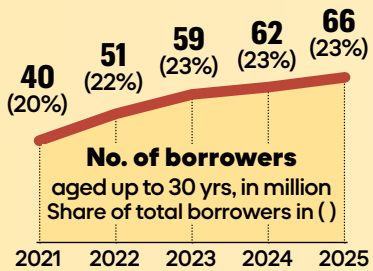
YOUNG AND INDEBTED

Text by **SONAL KHETARPAL** | Graphic by **TANMOY CHAKRABORTY/AI**

A new class of borrowers is emerging in India. Driven by the instant nature of digital lending, those aged up to 30—about half the population and largely Gen Z—now account for nearly a quarter of all borrowers, according to credit bureau CRIF High Mark. Ticket sizes are small, but in aggregate this cohort accounts for more than half of first-time loans, signalling a growing comfort with credit as a lifestyle tool. Collateral-free products dominate their borrowing, led by personal, consumer durable and credit card debt, which together account for over two-thirds of their active loans. The risk is evident: younger borrowers are more likely than older individuals to delay repayments.

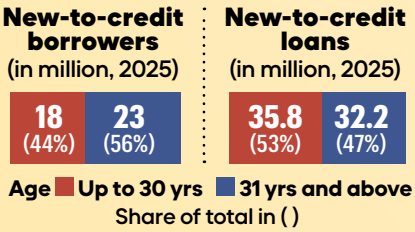
CREDIT'S NEW FACE

India's credit ecosystem is getting younger, with more people entering formal borrowing before age 30



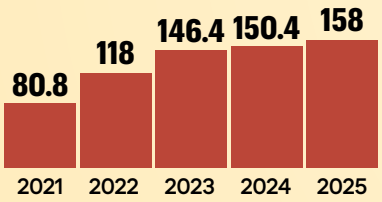
EARLY LEAD

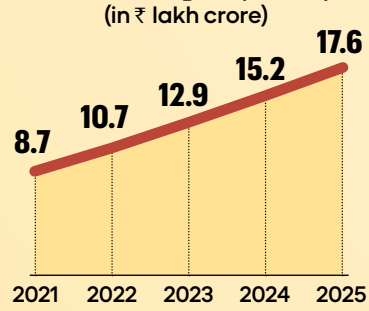
Gen-Z borrowers account for nearly 45% of new credit entrants and over half of first-time loans



LOAN UPTICK

Loans taken by young borrowers have doubled in both volume and value over the past five years





95%

Rise in active loans among those aged up to 30 years since 2021, compared with 64% among older borrowers

102%

Rise in total debt among those aged up to 30 years since 2021, compared with 98% among older borrowers

65%

Rise in the number of borrowers aged up to 30 years between 2021 and 2025, compared with 41% among the older cohort



Note: *All figures are as of November in the respective year and rounded off*

Source: *CRIF High Mark*